

THE BENCHMARK REPORT

Understand your coverage number.

A plain-language guide to how your estimate is calculated, what the numbers mean, and how your coverage compares with families like yours.

✓ Built on industry-standard actuarial methodology

Educational information only — not personalized financial or insurance advice.

What your benchmark measures

Your benchmark answers a deceptively simple question: how much life insurance does a family like yours actually need — and how does that compare with what families like yours really have?

Two numbers sit at the center of the report:

- **Your recommended coverage** — the amount that would replace your income and cover your family's major obligations if you were no longer there to provide for them.
- **What people like you carry** — the average coverage held by households with a similar age, income, and family situation.

The distance between those two figures is your **estimated shortfall** — and for most families, it's bigger than they expect.

Where the numbers come from

This isn't a sales target or a rule of thumb pulled from thin air. Each figure comes from published, checkable sources:

- **The recommended amount** follows the needs-based approach described in the NAIC Life Insurance Buyer's Guide — income replacement plus mortgage, education, other debts, and final expenses. (The NAIC is the association of U.S. state insurance regulators.)
- **The "people like you" figures** are derived from LIMRA's published household coverage study, *Life Insurance Ownership in Focus* (2016) — the most recent public per-group data, shown in 2016 dollars, with an income adjustment from the same study. Single-parent figures are partly modeled, because the study doesn't separate that group.
- **For scale:** the average new individual policy purchased was \$209,000 in 2024 (ACLI Life Insurers Fact Book), and the median coverage held per insured household was \$150,000 in 2022 (Federal Reserve Survey of Consumer Finances, via ACLI).

In other words: these numbers come from the same public research an insurer's own analysts read — not from a quote engine, and not from anyone earning a commission on the answer.

Reading your range

Your result isn't a single number — it's a range, because the "right" amount depends on how much risk your family is comfortable carrying.

Basic protection

Covers the essentials — income replacement for a defined period plus your immediate obligations. A floor, not a cushion.

Recommended

The balanced, best-fit figure for a family in your situation. This is the number to compare your current coverage against.

Extra protection

A fuller cushion — a longer income-replacement window and a larger education or legacy buffer.

A WORKED EXAMPLE

Example · not your data

A 38-year-old married homeowner, two children, \$120k household income:

PEOPLE LIKE YOU CARRY

\$520k

RECOMMENDED RANGE

\$1.1M–\$1.5M

Estimated shortfall vs. the recommended amount

~\$705k

shortfall ≈ \$705k

\$520k

people like you

\$1.1M

basic

\$1.2M

recommended

\$1.5M

extra

A family like this isn't unusual. About 102 million U.S. adults — 42% — say they need more life insurance than they have (LIMRA / Life Happens, 2024).

What drives your number

Five components do most of the work behind your estimate. Understanding them shows you why your number is what it is — and where you have room to adjust.



Income replacement

Replaces the earnings your family would lose, so everyday life can carry on. Usually the single largest component of the number.



Mortgage & housing

Enough to pay off or keep up the home, so your family isn't forced to sell or refinance under pressure at the worst possible time.



Children & education

Funds raising and educating dependents through to independence — often the fastest-growing piece of the estimate as children get older.



Other debts

Clears co-signed loans, credit balances, and other obligations that wouldn't simply disappear if your income did.



Final expenses

Covers funeral costs and the immediate administrative expenses of settling an estate — commonly estimated at around \$25,000. Small relative to the total, but immediate and often overlooked.

Where you have leverage

Two levers move your number the most: the size of your mortgage and how many years of income you choose to replace. Existing assets — savings, investments, an employer policy — reduce the shortfall rather than the need, which is why the estimate is calculated before subtracting what you already have.

A 5-minute sanity check

Want to pressure-test your own number by hand? Fill in the blanks below. It won't replace your estimate, but it'll show you the shape of the calculation.

1 Annual income × 10 to 12 (years to replace)	
+ Mortgage balance (or rent payoff) to clear	
+ Education — estimate per child × number of children	
+ Other debts — loans, cards, co-signed balances	
+ Final expenses (≈ \$25,000)	
= Total estimated need	
- Existing life insurance (including any employer policy)	
- Liquid savings & investments	
= Your estimated shortfall	

Sensible next steps

- Revisit your estimate whenever life changes — a new child, a home purchase, or a meaningful jump in income.
- Compare your current coverage against the **recommended** figure, not just the basic floor.
- If you decide to act, gather quotes from more than one provider, and consider speaking with a licensed, fee-transparent professional.

Important: This report is educational and general in nature. It is not personalized financial, insurance, tax, or legal advice, and it does not account for your complete financial picture. Coverage decisions should be made with a licensed professional. The recommended range follows the needs-based approach described in the NAIC Life Insurance Buyer's Guide — income replacement plus mortgage, education, debts, and final expenses. "People like you" figures are derived from LIMRA's *Life Insurance Ownership in Focus* (2016), shown in 2016 dollars, with an income adjustment from the same study; single-parent figures are partly modeled. Scale references: ACLI Life Insurers Fact Book (2025) and the Federal Reserve Survey of Consumer Finances (2022).